

Korea Daily Brief

Sunday, September 13, 2026

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RE: ROK wins ISDS vs. Chinese investor · US-Korea first investment project near deal · Espionage law takes effect
· Gender minister nominee quits · KCNA silent on Sep 12 missile launch

KOSPI
6,909.91
▼ -1.8%

USD/KRW
1,342.40
▼ -0.4%

BRENT
\$104.61
▼ -2.8%

BOK RATE
2.50%
Sep 2026

• TODAY AT A GLANCE

- 1 Industry Minister Kim Jung-kwan said Seoul aims to close the first US investment project under the tariff framework this week, with a video call planned as a few issues remain unresolved — a deal would be the first concrete implementation step since the Special Investment Act passed in March.
- 2 Seoul prevailed in a 264.1 billion won ISDS dispute brought by a Chinese investor before the ICSID ad hoc committee, with President Lee Jae-myung posting that illegal investments will not receive treaty protection and vowing to recover more than 6.4 billion won in legal costs.
- 3 Gender Equality and Family Minister nominee Yong Hye-in withdrew 14 days after nomination amid mounting controversy, prompting the Democratic Party leadership to call for tighter vetting; analysts cited a drop of approximately 1 percentage point in presidential approval per day of the standoff.

• TOP STORIES

US-KOREA

First US investment project under tariff deal nears closure — minister targets this-week announcement

Industry Minister **Kim Jung-kwan** said Sunday that Seoul is aiming to finalize and announce the first concrete US investment project under the Korea-US Strategic Investment Corporation framework before the week ends, with a video call with American counterparts planned early this week to resolve a handful of remaining issues. Kim, speaking at Incheon Airport upon his return from negotiations, confirmed the \$200 billion annual cap and the overall strategic investment ceiling will be held as agreed, and declined to specify whether a gas combined-cycle power plant, a nuclear plant project, or another sector would be the first announced deal. The development marks the first implementation step since the National Assembly passed the Special Investment Act in March 2026 with a 226-8-8 vote, creating the legal vehicle for channeling the \$350 billion government-level pledge.

Yonhap English, Sep 13 2026

TECHNOLOGY

South Korea's expanded espionage law takes effect, targeting chip technology protection

South Korea's revised espionage law entered into force Sunday, broadening the definition of protected national secrets to cover semiconductor technology, battery manufacturing processes, and other strategic industrial assets — a direct response to documented foreign intelligence efforts against Korean chipmakers. The law, reported in depth by Reuters and Bloomberg last week, creates new criminal exposure for industrial spying by foreign agents and tightens penalties for domestic leaks. The reform accompanies new Foreign Agent of Concern screening provisions aligned with US BIS export control frameworks, and follows Bloomberg's Sep 11 reporting that the National Intelligence Service had lobbied hard for the expanded scope.

Reuters, Sep 13 2026

CHINA-KOREA

Seoul wins 264.1 billion won ISDS case against Chinese investor at ICSID

An ad hoc committee of the International Centre for Settlement of Investment Disputes ruled fully in South Korea's favor, rejecting a 264.1 billion won compensation claim filed by Chinese national Min — who had been convicted by Korean courts in 2017 of embezzlement and fraud related to a loan obtained from Woori Bank. The ruling allows Seoul to recover more than 6.4 billion won in litigation costs from the claimant; President **Lee Jae-myung** posted on X that 'foreign investors cannot be protected for investments that violate Korean law,' signaling the government will take an aggressive posture against similar claims. The case is notable as the claimant had alleged Korean bank and court actions constituted treaty violations under the Korea-China bilateral investment agreement.

Yonhap English / 뉴스, Sep 13 2026

• OVERNIGHT

DPRK

North Korea fires multiple ballistic missiles toward East Sea — ROK military · NK News
Multiple launches detected Sep 12; KCNA carried no follow-up coverage.

US-KOREA

Party-government council backs revision of Public Prosecution Office structure ahead of Oct 2 launch · 뉴스
DP-government council agreed to rename 'Judicial Control Division' and cut Criminal Planning Officer posts.

BUSINESS

Foreign investors turned net sellers of South Korean bonds in August · Yonhap English
First month of net foreign bond selling this year; oil-price inflation fears cited.

ENERGY

227-meter offshore wind turbines off Sinan: can Korea's grid handle the mega-project? · 한겨레
Reporters at the Sinan offshore wind site question whether transmission infrastructure can absorb planned gigawatt-scale capacity.

TECHNOLOGY

Hyundai Motor pledges Level 4 autonomous driving in Seoul by 2029 · 매일경제
Hyundai released Seoul urban AV footage and set 2029 as the target for proprietary-system deployment after NVIDIA-assisted Level 2++ production.

Former Defense Minister Chung Ho-yong, last of the five central figures of the 1979-1980 military junta, has died.

• STAT OF THE DAY

264.1B KRW

ISDS award claim defeated by ROK at ICSID

An ICSID ad hoc committee ruled fully in Seoul's favor against a Chinese investor who had sought 264.1 billion won in damages, allowing the ROK government to recover more than 6.4 billion won in litigation costs — the case drew attention amid broader Lee administration messaging on investment treaty enforcement.

Yonhap English — S. Korea prevails in 264.1 bln-won investor-state dispute against Chinese investor

PYONGYANG WATCH · KCNA

Complete KCNA silence today

KIM JONG UN

● No appearance (5d since last)

TOP KCNA ARTICLES

1. North Korea fires multiple ballistic missiles toward East Sea — ROK military

ROK military detected multiple ballistic missile launches by North Korea toward the East Sea on September 12; KCNA carried no reporting on the launches. — NK News

Bottom line: KCNA maintained complete silence on the September 12 ballistic missile launches for a second consecutive day, consistent with Pyongyang's practice of not acknowledging tests it frames as responses to allied exercises. Kim Jong Un has not appeared in state media for five days since the September 8 Kang Kon commissioning; the post-founding-anniversary period and Punggye-ri readiness sustain elevated watch status.

• ROK GOVERNMENT

President + Ministries · Sunday, September 13, 2026

청와대 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee warns illegal investments not protected after ISDS win

President Lee Jae-myung

President Lee posted on X that 'foreign investors cannot be protected for investments that violate Korean law,' citing the ICSID ruling that rejected

산업통상자원부 · MINISTRY OF TRADE, INDUSTRY AND ENERGY

Industry minister targets this-week closure of first US investment project under tariff deal

Minister Kim Jung-kwan

Minister **Kim Jung-kwan**, speaking at Incheon Airport on return from negotiations, said a video

a 264.1 billion won claim by a Chinese investor who had been convicted of fraud in Korean courts. Lee said the Ministry of Justice would receive his thanks and pledged continued firm responses to unwarranted international arbitration claims.

Primary [뉴스](#) ↗

call is planned early this week to resolve remaining issues and announce a deal; he confirmed the \$200B annual cap and total strategic investment limit will be observed, and declined to name specific projects — including whether a gas combined-cycle power plant or nuclear project would be first.

Primary [Yonhap EN](#) ↗

청와대 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee directs Ministry of Justice to revise Public Prosecution Office organizational chart

President Lee Jae-myung

Following Lee's criticism that the 'Judicial Control Division' name was inappropriate, the ruling party-government council agreed to rename it the 'Non-Referral Case Review Division,' abolish the Criminal Planning Officer and Serious Crime Planning Officer posts, and commission an external study on reducing the prosecutor headcount after the Public Prosecution Office launches on October 2.

Primary [뉴스](#) ↗

PERSONNEL CHANGES

Yong Hye-in **RESIGNED**

Minister of Gender Equality and Family (성평등가족부 장관 후보자)

Yong Hye-in, nominated by President Lee Jae-myung and drawn from the Basic Income Party, withdrew her candidacy 14 days after nomination on September 13, following Democratic Party leadership pressure and mounting public controversy over dual-role intentions and vetting gaps. President Lee must now identify a replacement, leaving the new ministry's leadership vacant ahead of its formal establishment.

NATIONAL ASSEMBLY

11th council convened; agreed to revise Public Prosecution Office structure and rename 'Judicial Control Division'

Ruling Party-Government Council (고위당정협의회)

The council meeting ran approximately 100 minutes at the PM's Samcheong-dong Seoul residence. Democratic Party floor leader Kim Min-seok issued 'very strong' instructions on prosecutorial and police reform, and called for zero backsliding on the reform trajectory ahead of the October 2 agency launches.

Confirmation hearing for Justice Minister nominee Kim Seung-won scheduled for September 15

National Assembly (전체)

The hearing is expected to focus on allegations of pharmaceutical drug approval lobbying and family privilege; separately, police have reopened the pharmaceutical solicitation investigation to collect additional evidence before the hearing date.

Steel and aluminium remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, leaving no baseline reciprocal tariff. Section 301 is now the primary prospective vehicle for any new measure; the first investment project under the \$350B Korea-US Strategic Investment Corporation is expected to be announced this week.

TARIFFS

EXPIRED

Section 122 surcharge lapsed Jul 24; Section 301 now primary tariff vehicle; sector 232 rates still in force.

WATCH THIS DATE

next trigger: Section 301 determination — pending, no fixed date

SECTOR RATES

Steel & Aluminum	SECTION 232	50%
Copper	SECTION 232	50%
Automobiles & Auto Parts	SECTION 232	15%
Timber / Lumber / Wood Derivatives	SECTION 232	15%
Semiconductors (advanced logic)	SECTION 232 (PROCLAMATION 11002)	25%
Pharmaceuticals	SECTION 232 (DEAL TERMS)	up to 15%
Civil Aircraft & Parts	US-KOREA DEAL EXEMPTION	0%
Generic Pharma / Precursors / Rare Natural Resources	ALIGNED PARTNERS LIST	0%

NEW THIS WEEK

First US-Korea Strategic Investment Corporation project nears announcement — industry minister

New deal

Industry Minister Kim Jung-kwan confirmed that a final agreement on the first investment project under the Korea-US Strategic Investment Corporation is within reach, with a target of announcing it this week pending resolution of remaining points in a video call with US counterparts.

[‘REPUBLIC OF KOREA (MOTIE)’, ‘UNITED STATES (COUNTERPART UNDISCLOSED)’] · YONHAP ENGLISH

FULL TRADE REFERENCE →

Investment ledger, pledge tracker and standing policy measures.

Kia PV5 cumulative global sales surpass 50,000 units in 13 months

Kia Corp. reported that cumulative global sales of the PV5 purpose-built vehicle crossed 50,000 units within 13 months of launch, faster than the automaker's internal targets. The PV5 is central to Kia's commercial EV strategy and has drawn significant fleet orders in Europe and Southeast Asia.

Kia Corp.

Seoul apartment prices rise for 83rd consecutive week, approaching Moon-era record of 85 weeks

Seoul apartment prices extended their unbroken run of weekly gains to 83 weeks, putting the streak within two weeks of surpassing the 85-week record set during the Moon Jae-in administration. The sustained price increase is compounding political pressure on the Lee government's housing policy despite several intervention attempts.

• PUBLIC SENTIMENT

PRESIDENTIAL APPROVAL

38%

▼ 2 pts vs Sep 4

Gallup Korea · week of 2026-09-11

42% since Aug 25-27 ↓ 38% across 3 readings

RULING
Democratic

39%

OPPOSITION
People Power

25%

INDEPENDENTS

26%

Gallup Korea Spotlight August 25-27, 2026

Security Policy Priorities: Lee Jae-myung's approval stood at 42% (lowest since inauguration) with disapproval first crossing 50% in the August 25-27 survey; the poll covered OPCON transfer, denuclearization, inter-Korean military balance, and a proposed merger of three military academies.

Discourse: Anti-Hormuz deployment civic march held Sep 12 in Seoul; banner of civic groups opposed to ROK naval deployment to the Strait of Hormuz drew street protest coverage (한겨레, Sep 12).

• UPCOMING

Oct
1

ROK Armed Forces Day (국군의 날)

Also the anniversary of the ROK-US Mutual Defense Treaty, signed in Washington on 1 October 1953. Recent years have brought a parade through central Seoul and new systems shown publicly; alliance statements from both capitals usually land the same day.

Oct
3

National Foundation Day (개천절)

Public holiday: KRX closed, ministries dark, no Assembly business. Expect a thin domestic news flow and few primary-source releases.

Oct
9

Hangul Day (한글날)

Public holiday: KRX closed, ministries dark. Falling within a week of 개천절, the two often bracket a slow stretch for government news.

Oct
10

Workers' Party founding day

The party was founded on this date in 1945. Decennial anniversaries have brought large Kim Il Sung Square parades and new systems shown in public for the first time; watch pre-event imagery for assembly.

• THE WIRE

US-KOREA

YONHAP ENGLISH

Gender minister nominee Yong Hye-in withdraws 14 days after nomination amid controversy

Yong Hye-in of the Basic Income Party stepped down as President Lee's pick to lead the new Gender Equality and Family Ministry after 14 days, following Democratic Party leadership pressure and a reported drop in presidential approval of roughly 1 percentage point per day of the standoff. The withdrawal leaves Lee's cabinet reshuffle incomplete and prompts internal Democratic Party calls for tighter nominee vetting, with senior DP member Park Ji-won publicly stating the Blue House personnel vetting line must bear responsibility.

DPRK

YONHAP ENGLISH

North Korean state media again silent on Sep 12 ballistic missile launches

KCNA and Rodong Sinmun carried no reporting on the ballistic missile launches detected by the ROK military on September 12, maintaining a pattern of state-media silence on launches following military exercises Seoul and Washington described as provocations. The absence is consistent with prior DPRK practice of omitting missile tests it frames as responses to allied exercises — KCNA similarly did not report several September 2023 SRBM launches.

BUSINESS

BLOOMBERG KOREA

Korea tests global investor appetite with longer trading hours

South Korea extended Korea Exchange trading hours in a bid to attract more foreign participation, a market-structure reform aimed at closing the discount gap between KOSPI valuations and comparable developed-market peers. The move is part of the broader 'Korea Discount' elimination agenda accelerated under the Lee administration's capital markets reform package.

• ANALYSIS

OFFICIALS ON X

Lee Jae-myung @Jaemyung_Lee

“Foreign investors cannot be protected for investments that violate Korean law. This is the principle confirmed through international arbitration proceedings by winning this ISDS annulment procedure. I thank the Ministry of Justice officials who worked to protect the national interest. We will continue to respond firmly to unjust claims.”

Context: Posted immediately after the ICSID ad hoc committee ruling in Seoul's favor on the 264.1 billion won Chinese investor claim; Lee's framing emphasizes national interest enforcement over investor-state treaty latitude.

[View on X](#) →

Han Seong-sook @han_seongsook

“The ruling party, government, and Blue House will work as one team to protect people's lives and safety. At the 11th Senior Party-Government Council today we reviewed three areas: Chuseok cost-of-living measures, the missing persons case management system, and preparations for the October 2 launch of the Heavy Crime Investigation Agency and Public Prosecution Office.”

Context: PM Han's post confirms the council's October 2 target date for the Public Prosecution Office launch while framing the Yong Hye-in withdrawal episode as closed — the council's public communiqué did not address it directly.

[View on X →](#)

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.



Lee Jae-myung
President of the Republic of Korea

“Foreign investors cannot be protected for investments that violate Korean law. We will continue to respond firmly to unjust claims.”

Analyst: Statement posted in response to the ICSID ruling rejecting a 264.1 billion won claim by a Chinese investor; precedes the ROK's planned next-week announcement of the first US investment project under the Korea-US Strategic Investment Corporation.

[Source →](#)



Lee Hyung-il
Finance Minister nominee

“A corporate tax cut is not under consideration.”

Analyst: Statement made at his confirmation hearing; the ruling Democratic Party has consistently opposed corporate tax reductions, and the nominee's alignment with that position signals no departure from the Lee administration's fiscal stance ahead of budget season.

[Source →](#)

• SATELLITE & LOCATION WATCH

3 of 11 sites at elevated or alert status

ELEVATED ▲

Yongbyon Nuclear Complex

IAEA confirmed North Korea built a new uranium enrichment facility at Yongbyon (Reuters/CNN, Sep 9-10, 2026), assessed capable of producing material for up to four additional warheads annually (조선일보). Russia dismissed the IAEA report at the Vienna session, citing lack of access. Apr 2026: Enrichment building expansion complete, new centrifuge hall operational. 5 MWe reactor and IRT-2000 both running. Thermal signatures consistent with increased plutonium/HEU production.
imagery as of 2026-09-10

ALERT ▲

Tumangang-Khasan (NK-Russia border)

Sep 8, 2026: The first road bridge over the Tumen River between North Korea and Russia was formally opened at a ceremony attended by Russian PM Mikhail Mishustin; the bridge is named after Soviet officer Yakov Novichenko. This constitutes a new permanent road link across the shared border, the first of its kind.
imagery as of 2026-09-08

ACTIVITY ▲

ACTIVITY ▲

Sinuiju–Dandong (NK-China border)

Sep 11, 2026: 38 North satellite imagery analysis shows the new North Korea-China border crossing (new Yalu River Bridge) appears close to opening.
Mar 12, 2026: Cross-border passenger train service resumed between Sinuiju and Dandong after COVID-era suspension.

imagery as of 2026-09-11

Vostochny/Dunai (Russian Far East)

Jan 2026: Arms shipments slowed due to ice — one Russian vessel (likely Angara or Lady R) visited Rason, docked Jan 14 at arms export berth. Cargo routed to Vostochny. Since Sep 2023: 64 voyages by 4 vessels (Angara, Maria, Maya-1, Lady R) delivered ~15,800 containers (~4.2-5.8M munitions) from Rajin to Vostochny/Dunai. Road bridge now open Sep 8, 2026, providing first permanent road route to supplement existing rail.

imagery as of 2026-09-08

7 other monitored sites: no new imagery in the last 30 days · oldest report 2025-05.

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